Grade 9 EMS – Paper 1

Business Studies and Economy · November 2026
(Accounting is in your separate Accounting notes)

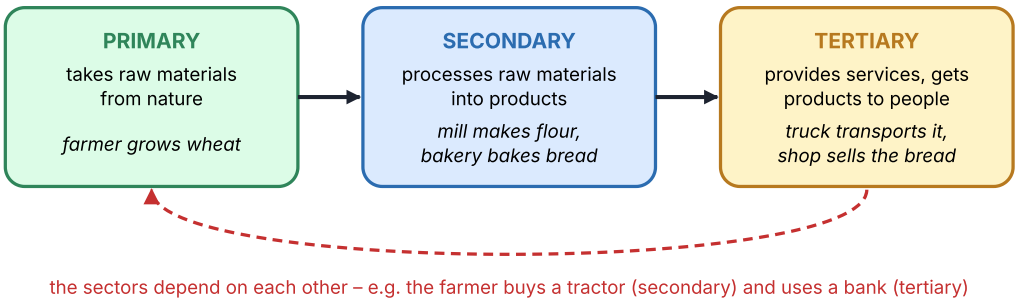
PAPER 1 – 2 hours · 100 marks	
Accounting: Debtors and creditors	Journals · Account debited/credited · Assets, owner's equity, liabilities · General Ledger · Debtors Ledger · Creditors Ledger (see Accounting notes)
Business studies (these notes)	Primary, secondary and tertiary sectors · 8 business functions · Business plan
Economy (these notes)	Demand and supply

Contents

1. Primary, secondary and tertiary sectors
2. The 8 business functions
3. The business plan
4. Demand and supply

1. Primary, Secondary and Tertiary Sectors

The economy is divided into **three sectors** according to what businesses do. Together they turn **natural resources** into **products and services** that people buy.



From wheat to bread: the three sectors work together in a chain

Sector	What it does	Examples of businesses / jobs	South African example
Primary	Takes **natural resources (raw materials)** directly from nature – from the land, sea or underground	Farming, fishing, mining, forestry (cutting trees), hunting	Gold and platinum mines; fruit and wine farms in the Western Cape
Secondary	**Manufactures** – changes raw materials into **finished or semi-finished products**; also building and construction	Factories, mills, bakeries, car assembly plants, building companies, clothing factories	Car factories in Gqeberha and East London; a wine cellar making wine from grapes
Tertiary	Provides **services** and gets products to the consumer (trade)	Shops, banks, transport, insurance, tourism, hospitals, schools, lawyers, hairdressers	Shoprite, banks, Gautrain, hotels and tourism in Cape Town

> **How to remember:** **P**rimary = **P**ull it from nature · **S**econdary = **S**hape it into a product · **T**ertiary = **T**rade it and give services.

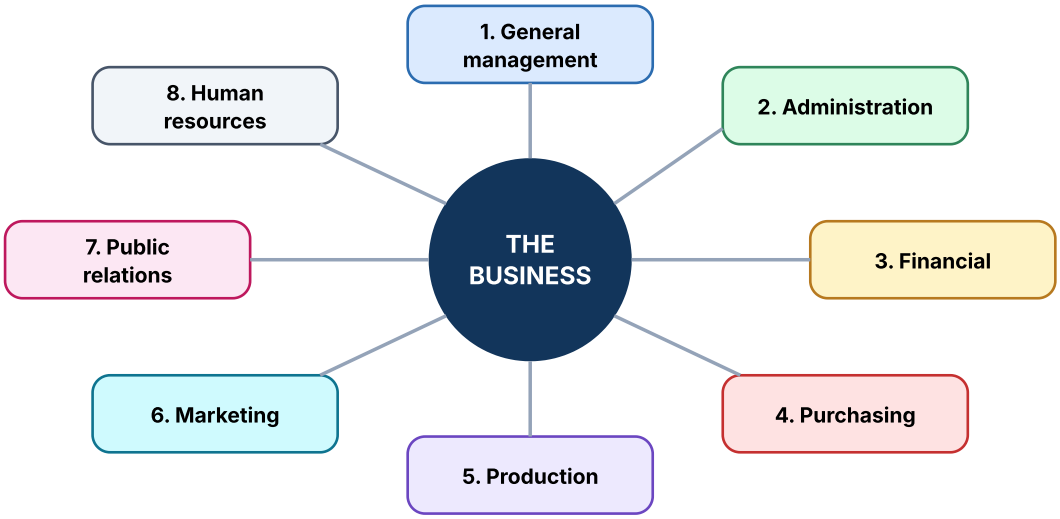
How the sectors depend on each other

- The **secondary** sector needs **raw materials** from the primary sector (no wheat → no bread).
- The **primary** sector needs **machines and equipment** from the secondary sector (tractors, fishing boats).
- Both need the **tertiary** sector for transport, banking, insurance and shops to sell their products.
- The tertiary sector needs products from the other two sectors to sell.

In South Africa, the **tertiary sector** is the biggest part of the economy and employs the most people. The primary sector (especially mining) earns a lot from **exports**.

2. The 8 Business Functions

A business is divided into **eight functions** (departments). Each one does a different job, but they all work together so the business can make a **profit**.



The 8 business functions all work together

> **Memory aid (G A F P P M P H):** **G**eneral **A**dministrators **F**ind **P**upils **P**roducing **M**arvellous **P**ublic **H**its.

Function	What it does	Example tasks
1. General management	The "head" of the business. **Plans, organises, leads and controls** the business and all the other functions. Sets goals and makes the big decisions.	Setting goals, making decisions, coordinating departments, solving problems
2. Administration	Handles all the **information and paperwork** of the business – collects, records, stores and sends information.	Filing, typing letters, answering phones and emails, keeping records, computer systems
3. Financial	Manages the **money** of the business: finds money (capital), uses it wisely and keeps the books.	Budgets, paying accounts and salaries, getting loans, bookkeeping, insurance
4. Purchasing	**Buys** everything the business needs: raw materials, stock and equipment – the right quality, quantity, price and time.	Choosing suppliers, ordering stock, checking deliveries, storing stock
5. Production	**Makes** the products or provides the services, using raw materials, machines and workers.	Manufacturing, quality control, maintaining machines
6. Marketing	Finds out what customers **want** and gets the product **sold**. Uses the **4 Ps**: Product, Price, Place, Promotion.	Market research, advertising, packaging, setting prices, sales
7. Public relations (PR)	Builds a **good image** of the business with the public and the community.	Sponsorships, press releases, handling complaints, social responsibility projects
8. Human resources (HR)	Looks after the **workers (employees)** of the business.	Recruiting and appointing staff, training, salaries and benefits, labour relations

> **Don't mix these up: Marketing** sells the **product**; **public relations** promotes the **image** of the business. **Purchasing** buys what the business needs; **financial** manages the money to pay for it. **Administration** handles information; **human resources** handles people.

Example: one transaction, many functions

A bakery wants to sell a new type of muffin: **marketing** does research to see if people want it → **general management** decides to go ahead → **financial** sets a budget → **purchasing** buys flour and ingredients → **human resources** hires an extra baker → **production** bakes the muffins → **administration** keeps the records → **public relations** donates muffins to a school event to build the bakery's image.

3. The Business Plan

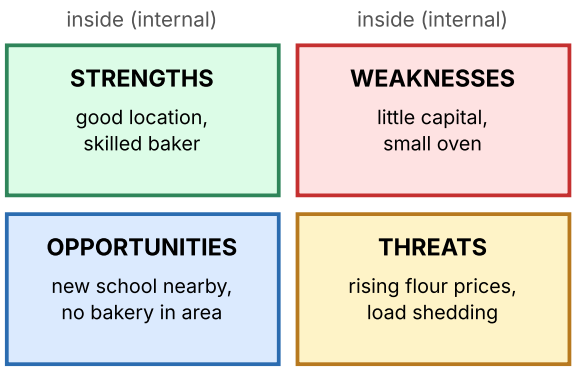
A **business plan** is a **written document** that describes a new (or existing) business: what it will sell, to whom, how it will be run and how it will make a profit.

Why a business plan is important

- It helps the entrepreneur **think carefully** and **plan** before spending money, so mistakes are avoided.
- It sets **goals** and is a guide for running the business.
- A **bank or investor** will want to see it before giving a **loan** or investing.
- It shows whether the business idea can make a **profit** (is viable).

The parts of a business plan

Section	What it contains
Cover page	Business name, logo, contact details (address, phone, email), owner's name, date
Description of the business	What the business does, the product or service, vision and mission, form of ownership (e.g. sole trader), location
SWOT analysis	**S**trengths and **W**eaknesses (**inside** the business – it can control them), **O**pportunities and **T**hreats (**outside** the business – it can't control them)
Marketing plan	Target market (who the customers are), competitors, and the **4 Ps**: Product, Price, Place, Promotion
Production plan	How the product will be made: raw materials, equipment, steps of production, suppliers, quality control
Management / human resources plan	Who will run the business, number of workers, their jobs and wages
Financial plan	Start-up costs, where the money comes from (capital, loan), expected income, expenses and **profit** (income – expenses)



SWOT analysis of a small bakery (top row = inside, bottom row = outside the business)

The 4 Ps of marketing

Product	What you sell – quality, design, packaging
Price	How much you charge – must cover costs and make a profit, but be competitive
Place	Where and how customers can buy it – location, shop, online, delivery
Promotion	How you tell customers about it – adverts, social media, posters, specials

Simple financial plan (one month):

Income from sales: 1 000 muffins × R15 = **R15 000**

Expenses: ingredients R6 000 + wages R4 000 + rent R2 000 + electricity R1 000 = **R13 000**

Profit = income − expenses = R15 000 − R13 000 = **R2 000**

4. Demand and Supply

A **market** is where **buyers and sellers** meet to exchange goods and services for money (a shop, a market stall, online). Prices in a market are set by **demand** (the buyers) and **supply** (the sellers).

Demand

Demand is the **quantity** of a product that buyers are **willing and able** to buy at different prices, at a certain time.

> **Law of demand:** the **higher** the price, the **lower** the quantity demanded; the **lower** the price, the **higher** the quantity demanded. (Price and quantity demanded move in **opposite** directions.)

Supply

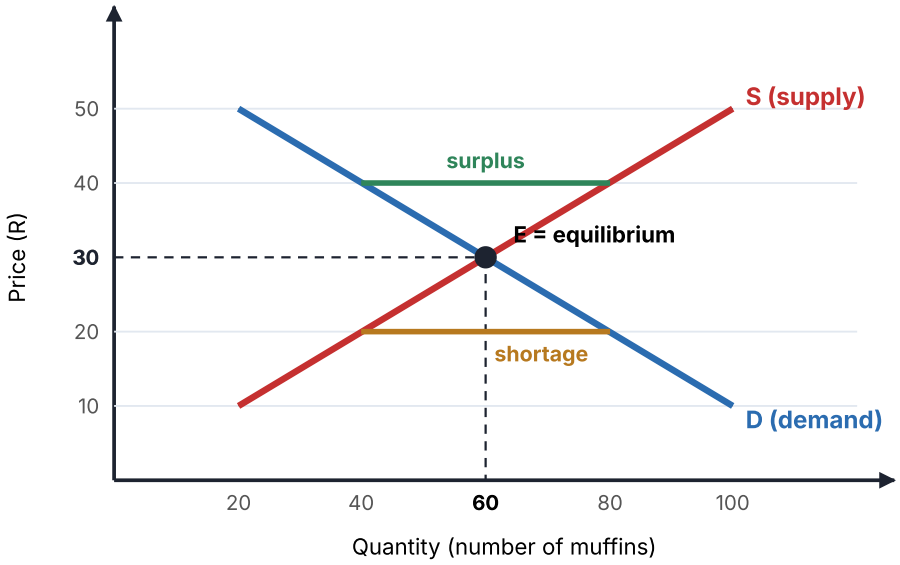
Supply is the **quantity** of a product that sellers are **willing and able** to sell at different prices, at a certain time.

> **Law of supply:** the **higher** the price, the **higher** the quantity supplied; the **lower** the price, the **lower** the quantity supplied. (Price and quantity supplied move in the **same** direction – sellers want to sell more when they can earn more.)

Demand and supply schedule: muffins

Price per muffin	Quantity demanded	Quantity supplied	Situation
R10	100	20	**Shortage** of 80 (demand > supply)
R20	80	40	**Shortage** of 40
R30	**60**	**60**	**Equilibrium** (demand = supply)
R40	40	80	**Surplus** of 40 (supply > demand)
R50	20	100	**Surplus** of 80

The demand and supply graph



Demand slopes down, supply slopes up; they cross at the equilibrium point E (R30, 60 muffins)

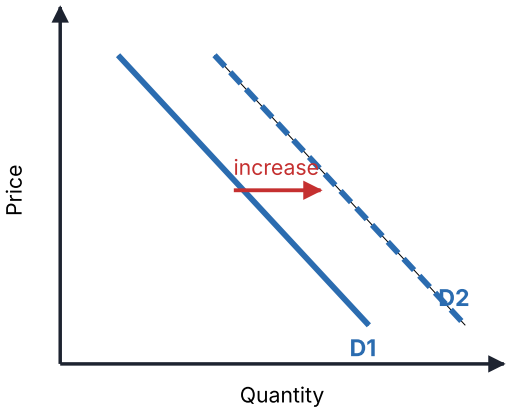
- Price is always on the **vertical (y) axis** and quantity on the **horizontal (x) axis**.
- The **demand curve (D)** slopes **downwards** from left to right (law of demand).
- The **supply curve (S)** slopes **upwards** from left to right (law of supply).

Market equilibrium, shortage and surplus

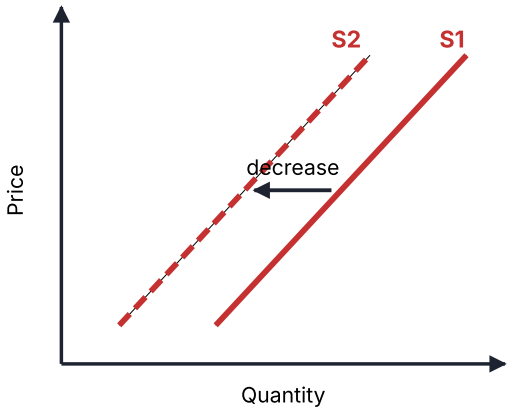
	Meaning	What happens to the price
Equilibrium	The point where **quantity demanded = quantity supplied**. The price there is the **equilibrium price** (R30) and the quantity is the **equilibrium quantity** (60).	The price stays stable – everything made is sold.
Surplus (excess supply)	The price is **above** equilibrium, so sellers supply **more** than buyers want.	Unsold stock piles up → sellers **lower the price** (sales/specials) → back to equilibrium.
Shortage (excess demand)	The price is **below** equilibrium, so buyers want **more** than sellers supply.	Products run out, buyers compete → the **price rises** → back to equilibrium.

Movement along the curve vs a shift of the curve

	Caused by	On the graph
Movement along the curve	A change in the **price of the product itself**	You move **up or down the same curve** – the curve does not move
Shift of the curve	A change in **anything else** (a factor other than the product's own price)	The **whole curve moves**: to the **right** = increase, to the **left** = decrease



Increase in demand: the demand curve shifts to the RIGHT (D1 → D2)



Decrease in supply: the supply curve shifts to the LEFT (S1 → S2)

Factors that shift demand and supply

Factors that change **demand** (buyers)	Factors that change **supply** (sellers)
• **Income** of buyers – more income → demand increases • **Tastes and fashion** – a product becomes popular → demand increases • **Price of related products** – if the price of a **substitute** rises (e.g. butter), demand for margarine increases; if the price of a **complement** rises (e.g. petrol), demand for cars decreases • **Population** – more people → more demand • **Advertising** • **Expectations** – if people expect prices to rise, they buy more now • **Seasons / weather** – more ice cream sold in summer	• **Cost of production** – raw materials, wages or electricity more expensive → supply decreases • **Technology** – better machines → produce more → supply increases • **Weather and natural disasters** – drought → less fruit → supply decreases • **Number of sellers** – more businesses → supply increases • **Government** – taxes decrease supply; subsidies increase supply • **Load shedding / strikes** – production stops → supply decreases

Examples:

A heat wave → people want more ice cream → **demand increases** → D shifts **right** → price rises.

A drought destroys maize → less maize → **supply decreases** → S shifts **left** → price of maize meal rises.

A new machine makes bread faster and cheaper → **supply increases** → S shifts **right** → price of bread falls.

Key terms

Term	Meaning
Primary sector	Takes raw materials from nature (farming, mining, fishing, forestry).
Secondary sector	Processes raw materials into products (manufacturing, construction).
Tertiary sector	Provides services and trade (shops, banks, transport).
Business functions	The 8 departments of a business: general management, administration, financial, purchasing, production, marketing, public relations, human resources.
Business plan	A written plan describing a business, how it will operate and make a profit.
SWOT analysis	Strengths and weaknesses (internal); opportunities and threats (external).
Demand	The quantity buyers are willing and able to buy at different prices.
Supply	The quantity sellers are willing and able to sell at different prices.
Equilibrium	The price and quantity where quantity demanded equals quantity supplied.
Surplus	Supply is more than demand (price above equilibrium).
Shortage	Demand is more than supply (price below equilibrium).